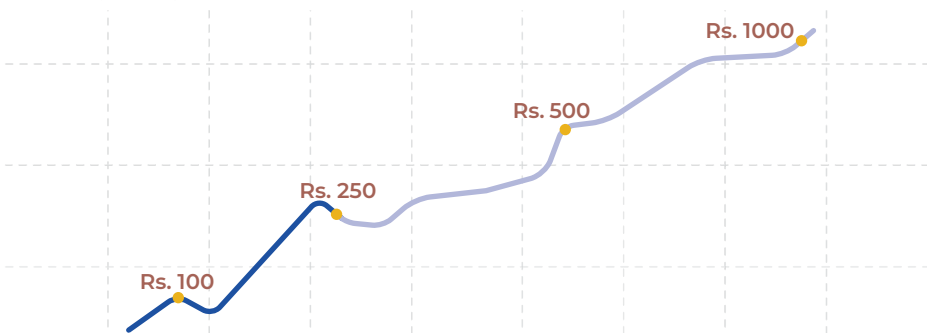


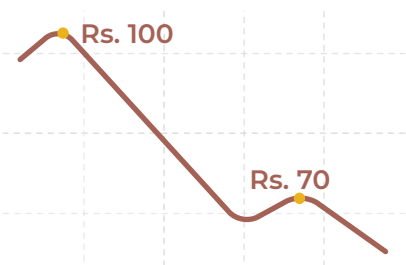
As retail investors, we try to make quick profits and sell our shares immediately when the stock prices increase from say Rs.100 to Rs.250.

Therefore, we cut the flowers rather than watering them. Which is a huge mistake.

Instead, we should wait! For any good company, a stock should climb from Rs.250 to Rs.500 and then from Rs.500 to Rs.1000. We don't want to miss the entire upside by selling has quick.



Therefore, it calls for patience and courage on our part. Unless we let a good company realize its full potential, we will not get huge returns. So, when our assumptions are correct, we must not expect to earn only small profits. Instead, we must wait till our money really grows and that's when our wealth is generated.



However, if a stock price drops from Rs. 100 to Rs.70, because of its poor business performance, then a stock is a weed and we should cut it. Therefore, instead of holding the stock, we should sell it and invest that amount elsewhere to generate good returns.

Due to a lack of patience, a lot of retail investors have wrong assumptions and tend to cut their flowers and water their weeds. We need to do the opposite - sell loss making companies if we are proved wrong and not sell profit making companies.